Aussie dollar slips as the US dollar hits a 19-month high

> Hotter US inflation sent the US dollar to its strongest level since April 2025, pushing the AUD down to about 68 US cents while key commodity prices eased.

WHAT HAPPENED

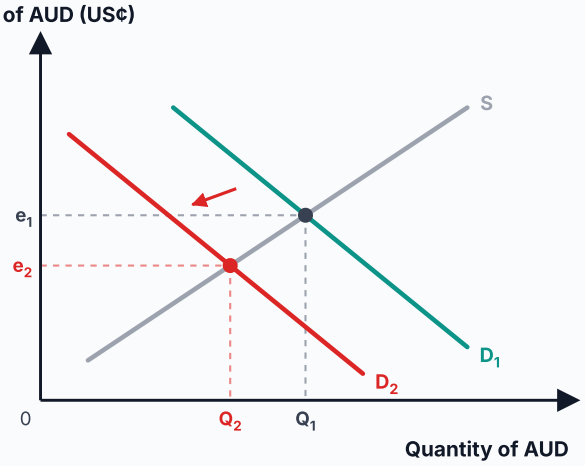
- The **US dollar index** rose 0.7% to its highest since April 2025 after the US CPI data (Westpac).
- The **AUD** fell 0.2% to **68.31 US cents** on Thursday afternoon, after starting the day just under 69 cents.
- **Iron ore** eased 0.6% to US$92/t and Brent crude fell 1.2% to US$91.67/bbl.
- Australia's 10-year bond yield (5.04%) is only slightly above the US (4.99%), so the yield advantage for holding AUD is thin.

68.31¢ AUD in US cents	**US$92/t** Iron ore price
5.04% Australian 10-year yield	**4.85%** RBA cash rate

KEY TERMS

Depreciation – A fall in the value of a floating currency against others.
Interest rate differential – The gap between Australian and overseas interest rates.

DIAGRAM The market for AUD: demand falls



Expected US rate rises make US assets more attractive, so investors want fewer Australian dollars: demand shifts from **D_1 to D_2**.

Softer iron ore prices also reduce demand for AUD from export earnings. The exchange rate falls from **e_1 to e_2**: a **depreciation**.

Exam angle: A lower AUD makes exports more competitive but raises import prices. That imported inflation is a concern for the RBA while inflation is above target.

FLOW CHART Cause and effect

Higher expected US rates → Capital flows towards the US → Lower demand for AUD → AUD depreciates; import prices rise

SYLLABUS LINK

Topic 2 – Australia's Place in the Global Economy: exchange rates: factors affecting the AUD (interest rate differentials, commodity prices, terms of trade) and the effects of a depreciation.

TRY THIS (4 marks)

Explain two factors that caused the Australian dollar to depreciate and outline one effect on Australia's economy.

Sources: ABC News – Markets live blog, 12 Nov 2026: https://www.abc.net.au/news/2026-11-12/asx-markets-business-news-live-updates-thursday-12-november/107374826 · Westpac IQ – Morning Report, 12 Nov 2026: https://www.westpaciq.com.au/economics/2026/11/Morning-report-12-Nov-2026